

We're not passing judgment on insurance products as a solution to the problem of estate planning. They could be a part of the hard structure that you put in place. That's entirely up to you. But keep in mind that the ultimate purpose of any hard structure is to be the shelter in which your family money lives. So you want to build that shelter very carefully. You want structures that will resist the storms that inevitably blow up. There will be challenges from the tax authorities, from your executors and trustees, and from trusted professionals.

There are market challenges, too. Suppose you set up a plan that gives your family a guaranteed return of 6 percent per year, locked in. And then suppose the inflation rate goes to 8 percent. Your family is guaranteed losses of 2 percent per year!

And then there are the heirs themselves. What will they want? Maybe not what you wanted for them.

Here's the point: You need carefully considered, thoughtfully put together structures that protect your family wealth. They must be rigid enough to hold up to the tempests that are surely coming. But they must be flexible enough to bend to the winds you can't possibly foresee. Locked into an insurance program, you may find yourself unable to shift your windscreen to face the challenges. Ideally, you do not want to have to depend on an insurance company—or any other company—to protect your family money.

In fact, the ideal estate plan is no plan at all. Or perhaps we should put that differently. The ideal thing is not to need an estate plan. Why? Because an estate is what you leave when you die. Ideally, you don't die. Of course, that is unlikely. But when you do die, you might still have organized your affairs so well that you leave no estate. So you don't need a plan for it. If you do it right, you will not own anything when you die. Now that we think about it, it's probably better to not own much of anything all your life. But that's a long discussion.

Why not own anything? So you won't have to pass along an estate—and especially not an estate that will draw the interest of the taxmen.

By the way, in much of the world, people pretend not to own anything. That is why diamonds, rare coins, and other forms of wealth that are hard to keep track of are so popular. This is tax evasion. It's completely illegal. It is not recommended. Certainly not by us! But it's what people do. We've